# Practice workbook · Sectors of the economy and how they change

Primary, secondary and tertiary sectors, classifying jobs and firms, and why the balance of employment and output shifts as economies develop.

14 question parts: 1 worked-example retry and 13 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T12-02

# 1. Question 1 · part i · 6 marks

2023 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part i only.

**1** (a) For which **one** of the following will demand increase when incomes decrease?

(1)

- ☒ **A** Capital good
- ☒ **B** Inferior good
- ☒ **C** Luxury good
- ☒ **D** Normal good

A firm's monthly total costs are $2 640 and monthly fixed costs are $900.

(b) Which **one** of the following equals $1 740?

(1)

- ☒ **A** Price
- ☒ **B** Profit
- ☒ **C** Average total costs
- ☒ **D** Total variable costs

(c) What is meant by the term division of labour?

(2)

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# 1. Question 1 · part i · 6 marks

2023 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part i only.

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(d) State **one** reason why a supply curve will shift to the left.

(1)

(e) Define the term competition.

(1)

A firm sells its products at a price of € 75 per unit and has a cost per unit of € 35.

(f) Calculate the **total revenue** for the firm when its monthly sales are 250 units.
You are advised to show your working.

(2)

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# 1. Question 1 · part i · 6 marks

2023 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part i only.

Figure 1 shows the market for mangoes.

(g) Using the diagram below, draw the likely effects on the market for mangoes after a study shows that eating them leads to an improvement in health. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

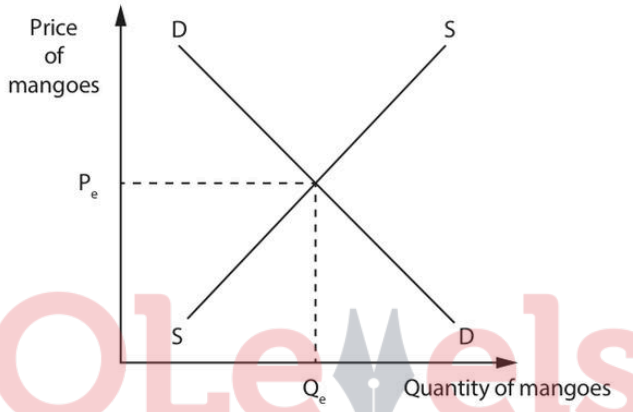



**Figure 1**

Christine runs a small cafe in New Zealand. She has many regular customers and has a reputation for serving large-sized meals, even though it means she makes less profit on each meal.

(h) Explain **one** possible reason why Christine serves large-sized meals.

(3)

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# 1. Question 1 · part i · 6 marks

2023 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part i only.

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There has been a decline in employment in the secondary sector in developed countries such as Germany, the UK and the US. Goods are now often manufactured in low-cost Asian countries. At the same time, there has been a rise in the number of people employed in the tertiary sector in developed countries.

(i) With reference to the data above and your knowledge of economics, analyse why there has been this shift in employment in developed countries.

(6)

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P 7 4 0 5 7 A 0 5 2 4

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*Turn over* ▶

# 1. Question 1 · part i · 6 marks

2023 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part i only.

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(Total for Question 1 = 20 marks)

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## 1. Question 1 · part i · 6 marks · Working and answer

Working and answer

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## 2. Question 1 · part e · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part e only.

**1** (a) Which **one** of the following is a factor of production?

(1)

- ☒ **A** Land
- ☒ **B** Profit
- ☒ **C** Wages
- ☒ **D** Manufacturing

(b) A firm has total fixed costs of $40 000 per month and variable costs of $150 per unit. If it produces 1,000 units, what are the total costs per month for the firm?

(1)

- ☒ **A** $190 000
- ☒ **B** $150 000
- ☒ **C** $41 150
- ☒ **D** $40 150

(c) What is meant by the term demand?

(2)

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## 2. Question 1 · part e · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part e only.

(d) State the formula for social costs.

(1)

(e) Define the term tertiary sector.

(1)

Figure 1 shows the costs of production per month for a firm making 2,000 units.

| Quantity | Total fixed costs | Total variable costs |
|---|---|---|
| 2,000 | $7 340 | $4 760 |

**Figure 1**

(f) Calculate the average cost per unit for the firm when it makes 2,000 units. You are advised to show your working.

(2)

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## 2. Question 1 · part e · 1 mark · Working and answer

Working and answer

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## 3. Question 1 · part d · 1 mark

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part d only.

**1** (a) Which **one** of the following values shows perfect price inelasticity of demand?

(1)

- ☒ **A** –1.5
- ☒ **B** –1
- ☒ **C** 0
- ☒ **D** 0.5

(b) A firm has total costs of $500 and sells each item at a price of $50. It sells 100 items. What is the **profit or loss** for the firm?

(1)

- ☒ **A** $45 000 profit
- ☒ **B** $4 500 profit
- ☒ **C** $20 000 loss
- ☒ **D** $450 loss

(c) What is meant by the term mixed economy?

(2)

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## 3. Question 1 · part d · 1 mark

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part d only.

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(d) State **one** example of an occupation in the tertiary sector of the economy.

(1)

(e) Define the term government.

(1)

(f) Calculate the income **elasticity of demand (YED)** for a good if income increases by 5% and quantity demanded increases by 12%. You are advised to show your working.

(2)

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P 5 8 2 7 6 A 0 3 2 8

## 3. Question 1 · part d · 1 mark · Working and answer

Working and answer

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# 4. Question 1 · part d · 1 mark

2020 JAN · Paper 01

Further practice · Attempt part d only.

**1** (a) Which **one** of the following values shows perfect price inelasticity of supply?

(1)

- ☒ **A** 1.5
- ☒ **B** 1
- ☒ **C** 0.5
- ☒ **D** 0

(b) A firm has total costs of $1 250 000 per month and variable costs of $100 per unit. If it produces 5,000 units, calculate the **total fixed costs** per month for the firm.

(1)

- ☒ **A** $1 750 000
- ☒ **B** $1 250 100
- ☒ **C** $1 249 900
- ☒ **D** $750 000

(c) What is meant by the term supply?

(2)

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# 4. Question 1 · part d · 1 mark

2020 JAN · Paper 01

Further practice · Attempt part d only.

(d) State **one** example of an occupation that is in the secondary sector of the economy.

(1)

(e) Define the term labour.

(1)

(f) Calculate the **income elasticity of demand (YED)** for a good if income increases by 25% and quantity demanded increases by 10%. You are advised to show your working.

(2)

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## 4. Question 1 · part d · 1 mark · Working and answer

Working and answer

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## 5. Question 1 · part a · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part a only.

**1** (a) Car production is most likely to take place in which sector of the economy?

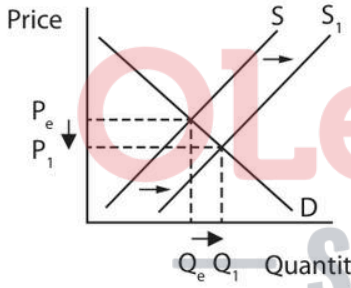
**(1)**

- ☒ **A** Primary
- ☒ **B** Secondary
- ☒ **C** Tertiary
- ☒ **D** Mixed

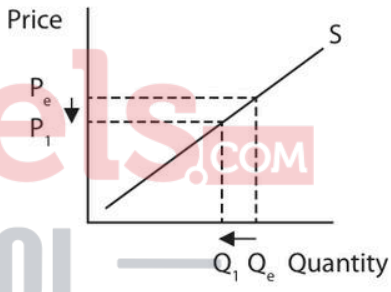
(b) Which **one** of the following diagrams shows the new equilibrium price and quantity for lemon ice cream in Thailand following a price reduction in chocolate ice cream?

**(1)**

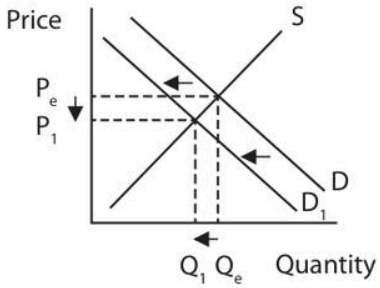
☒ **A**



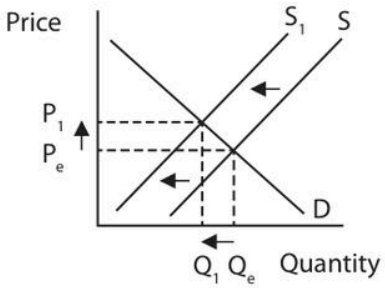

☒ **B**




☒ **C**




☒ **D**




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## 5. Question 1 · part a · 1 mark · Working and answer

Working and answer

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## 6. Question 3 · part b · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part b only.

**3** (a) Which **one** of the following is likely to lead to an inefficient allocation of resources?

**(1)**

- ☒ **A** Migration
- ☒ **B** Competition
- ☒ **C** Lack of information
- ☒ **D** Division of labour

(b) Which **one** of the following is an example of an occupation in the tertiary sector?

**(1)**

- ☒ **A** Sheep farmer
- ☒ **B** Factory worker
- ☒ **C** Coal miner
- ☒ **D** Sales assistant

(c) Using the diagram below, draw the effects of a minimum wage ($W_1$) that has been set above the equilibrium wage ($W_e$). Label the new quantity of labour demanded and the new quantity of labour supplied.

**(3)**

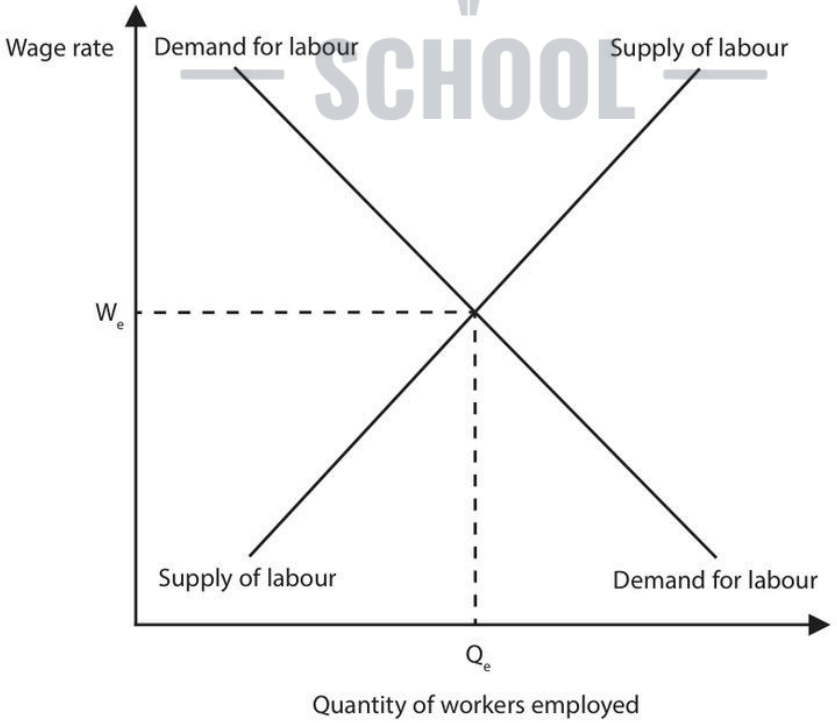



**Figure 3**

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## 6. Question 3 · part b · 1 mark · Working and answer

Working and answer

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# 7. Question 1 · part h · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

**1** (a) Which **one** of the following is defined as 'breaking down the production process into smaller tasks'?

(1)

- ☒ **A** Division of labour
- ☒ **B** Innovation
- ☒ **C** Labour intensive
- ☒ **D** Productivity

A firm sells 40 units of a good. Variable costs are $4 per unit. Customers pay $10 per unit.

(b) Which **one** of the following equals $400?

(1)

- ☒ **A** Price
- ☒ **B** Total costs
- ☒ **C** Profit
- ☒ **D** Total revenue

(c) What is meant by the term inferior good?

(2)

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# 7. Question 1 · part h · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

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(d) State **one** reason why a demand curve will shift to the left.

**(1)**

(e) Define the term production.

**(1)**

Inny provides a window cleaning service to homeowners in his local area. He recently increased prices by 1.6% and quantity demanded fell by 2.1%.

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Inny's window cleaning service. You are advised to show your working.

**(2)**

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## 7. Question 1 · part h · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

(g) Using the diagram below, draw the likely effects on the market for crops after farmland is damaged by flooding. Label the new curve, the new equilibrium price and the new equilibrium quantity.

**(3)**

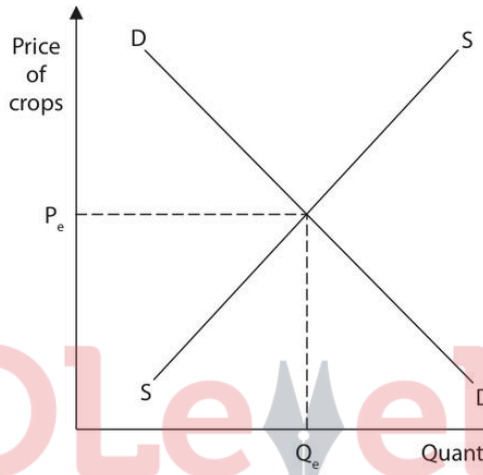



**Figure 1**

Tertiary sector employment has increased by 13.1% in China during the last 10 years. However, there have been few changes in the level of employment in the secondary sector.

(h) Explain **one** possible reason for this trend.

**(3)**

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## 7. Question 1 · part h · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

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Unilever is a multinational corporation that sells consumer goods. It currently uses 700,000 tonnes of non-recyclable plastic packaging each year. By 2025, it plans to reduce overall usage by 100,000 tonnes and replace the remaining 600,000 tonnes with more expensive plastic, which can be recycled.

(Source adapted from: https://www.npr.org/2019/10/07/767983664/unilever-vows-to-reduce-plastic-packaging-use-by-2025?t=1573738349481)

(i) With reference to the data above and your knowledge of economics, analyse how the profits of Unilever may be affected.

**(6)**

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**(Total for Question 1 = 20 marks)**

## 7. Question 1 · part h · 3 marks · Working and answer

Working and answer

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## 8. Question 3 · part b · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part b only.

**3** (a) Which **one** of the following is defined as 'the selling of an enterprise controlled by the government to the private sector'?

(1)

- ☒ **A** Reclamation
- ☒ **B** Innovation
- ☒ **C** Nationalisation
- ☒ **D** Privatisation

(b) Which **one** of the following is an example of an occupation in the primary sector?

(1)

- ☒ **A** Teacher
- ☒ **B** Farmer
- ☒ **C** Electrician
- ☒ **D** Actor

(c) On the diagram below, draw the effects of an increase in the school-leaving age on the labour market in a country. Label the new curve, the new equilibrium wage rate and the new equilibrium quantity of workers employed.

(3)

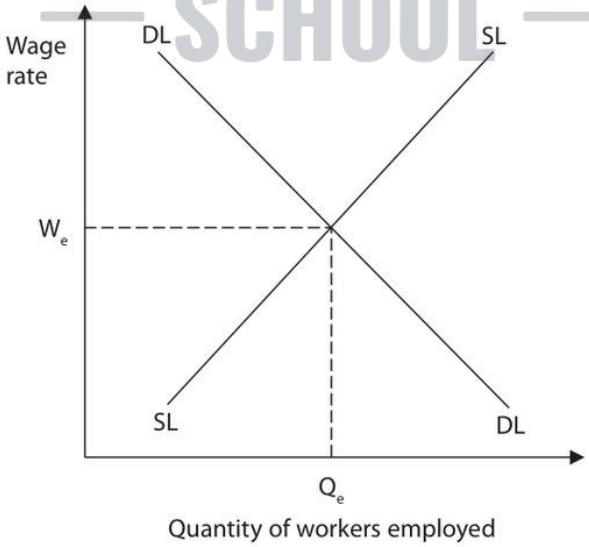



**Figure 3**

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## 8. Question 3 · part b · 1 mark · Working and answer

Working and answer

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## 9. Question 1 · part a · 1 mark

2023 JAN · Paper 01

Further practice · Attempt part a only.

**1** (a) What is the name given to a firm that manufactures cars?

(1)

- ☒ **A** A primary sector firm
- ☒ **B** A secondary sector firm
- ☒ **C** A tertiary sector firm
- ☒ **D** A service sector firm

A firm that employs 540 workers has a total monthly output of 27,000 units.

(b) What is the monthly labour productivity of the firm?

(1)

- ☒ **A** 0.02 units
- ☒ **B** 50 units
- ☒ **C** 27,540 units
- ☒ **D** 14,580,000 units

(c) What is meant by the term division of labour?

(2)

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## 9. Question 1 · part a · 1 mark · Working and answer

Working and answer

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## 10. Question 3 · part e · 9 marks

2023 JUN · Paper 01

Further practice · Attempt part e only.

**3** Income elasticity of demand (YED) for a product is –0.43 and the price elasticity of demand (PED) for the same product is –0.27.

(a) The data above shows that the product is

**(1)**

- ☒ **A** an inferior good and demand is price inelastic
- ☒ **B** an inferior good and demand is price elastic
- ☒ **C** a normal good and demand is price inelastic
- ☒ **D** a normal good and demand is price elastic

(b) The formula for social benefits is

**(1)**

- ☒ **A** private costs + private benefits
- ☒ **B** private benefits – private costs
- ☒ **C** private benefits + external benefits
- ☒ **D** private costs – external costs

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## 10. Question 3 · part e · 9 marks

2023 JUN · Paper 01

Further practice · Attempt part e only.

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(c) On the diagram below, draw the effects of a decrease in the retirement age on the labour market in a country. Label the new curve, the new equilibrium wage rate and the new equilibrium quantity of workers employed.

**(3)**

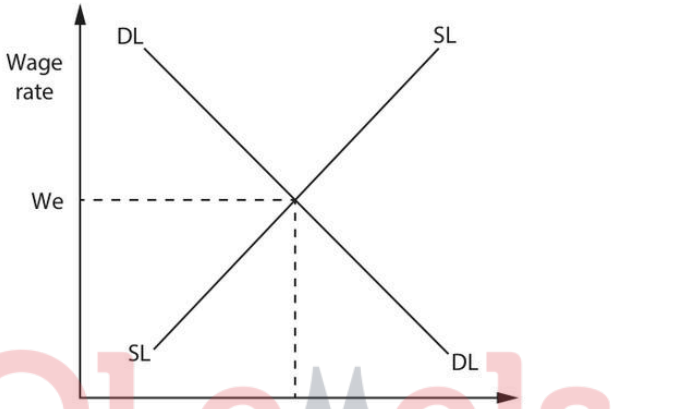



**Figure 4**

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## 10. Question 3 · part e · 9 marks

2023 JUN · Paper 01

Further practice · Attempt part e only.

Studies have shown that there are a number of negative impacts from spending too much time using a mobile phone. These include pain in the thumbs, loss of sleep and anxiety. Despite this, it is not unusual for people to spend a lot of time using their phone, even in the presence of others.

(d) With reference to the data above and your knowledge of economics, analyse why some people may ignore the negative impacts of spending a lot of time using a mobile phone.

**(6)**

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## 10. Question 3 · part e · 9 marks

2023 JUN · Paper 01

Further practice · Attempt part e only.

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## 10. Question 3 · part e · 9 marks

2023 JUN · Paper 01

Further practice · Attempt part e only.

Manufacturing is an important part of any economy because as well as providing many products, it generates income and tax revenue. Governments can use this tax revenue to provide things such as health care and education, which are part of the tertiary sector.

(e) With reference to the data above and your knowledge of economics, assess the role of the secondary sector in an economy.

**(9)**

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## 10. Question 3 · part e · 9 marks

2023 JUN · Paper 01

Further practice · Attempt part e only.

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**(Total for Question 3 = 20 marks)**

## 10. Question 3 · part e · 9 marks · Working and answer

Working and answer

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## 11. Question 3 · part a · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

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**3** (a) Which **one** of the following is an example of a job in the primary sector of the economy?

**(1)**

- ☒ **A** Farmer
- ☒ **B** Mechanic
- ☒ **C** Shop assistant
- ☒ **D** Teacher

(b) Total revenue can be defined as the quantity of goods sold

**(1)**

- ☒ **A** added to the price
- ☒ **B** subtracted from the price
- ☒ **C** multiplied by the price
- ☒ **D** divided by the price

(c) Using the diagram below, draw a diagram to show a demand curve that has price inelastic demand. Label the curve and show the impact on both axes from a change in price.

**(3)**

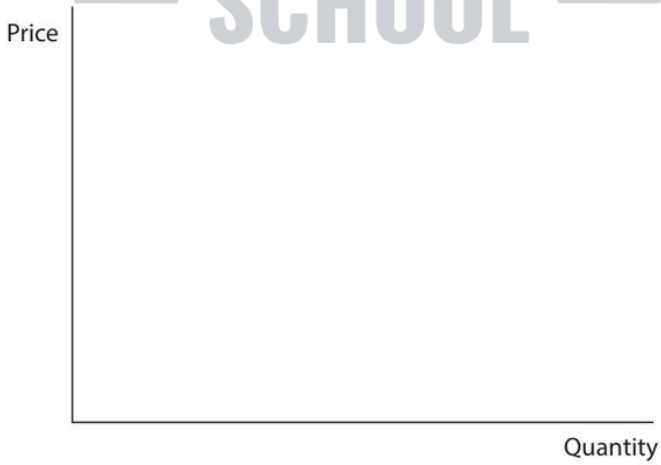



**Figure 2**

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## 11. Question 3 · part a · 1 mark · Working and answer

Working and answer

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## 12. Question 1 · part d · 1 mark

2024 JUN · Paper 01

Further practice · Attempt part d only.

**1** (a) Which **one** of the following values shows perfectly price elastic demand?

(1)

- ☒ **A** –1
- ☒ **B** –0.5
- ☒ **C** Zero
- ☒ **D** Infinity

(b) A country has a minimum wage of €6.04 per hour. If a worker provides 35 hours of labour in a week, the lowest weekly wage the worker can earn is

(1)

- ☒ **A** €6.04
- ☒ **B** €205.36
- ☒ **C** €211.40
- ☒ **D** €422.80

(c) What is meant by the term mixed economy?

(2)

(d) State **one** example of an occupation that is in the tertiary sector of an economy.

(1)

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## 12. Question 1 · part d · 1 mark

2024 JUN · Paper 01

Further practice · Attempt part d only.

(e) Define the term producer.

(1)

(f) Calculate, to two decimal places, the **income elasticity of demand (YED)** for a good if income increases by 7% and quantity demanded increases by 11%. You are advised to show your working.

(2)

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## 12. Question 1 · part d · 1 mark · Working and answer

Working and answer

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## 13. Question 3 · part b · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part b only.

**3** (a) A free rider can be defined as an individual who does which **one** of the following?

**(1)**

- ☒ **A** Enjoys the benefit of a good after paying for it
- ☒ **B** Enjoys the benefit of a good but does not pay for it
- ☒ **C** Gives a good away after paying for it
- ☒ **D** Neither uses a good nor pays for it

(b) Which **one** of the following is an example of an occupation in the tertiary sector?

**(1)**

- ☒ **A** House builder
- ☒ **B** Cattle farmer
- ☒ **C** Hotel receptionist
- ☒ **D** Forestry worker

(c) Using the diagram below, draw the effect of a minimum wage ($W_1$) that has been set above the equilibrium wage ($W_e$). Label the new quantity of labour demanded and the new quantity of labour supplied.

**(3)**

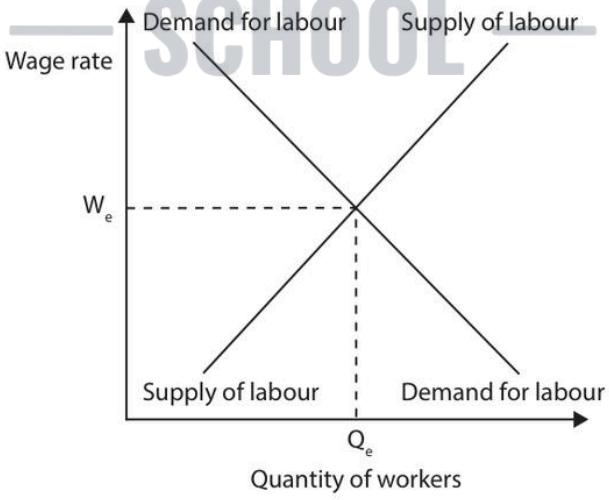



**Figure 3**

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## 13. Question 3 · part b · 1 mark · Working and answer

Working and answer

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## 14. Question 1 · part a · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part a only.

**1** (a) In which sector of the economy is house building?

(1)

- ☒ **A** Service
- ☒ **B** Primary
- ☒ **C** Secondary
- ☒ **D** Tertiary

A firm produces goods that are made from wood.

(b) Wood is an example of which **one** of the following factors of production?

(1)

- ☒ **A** Capital
- ☒ **B** Enterprise
- ☒ **C** Labour
- ☒ **D** Land

(c) What is meant by the term total costs?

(2)

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## 14. Question 1 · part a · 1 mark · Working and answer

Working and answer

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